Prioritizing your needs

When assessing how much you need to spend, consider your assets first—the essential items and equipment you need to run your business. There will also be other one-off costs (see examples below). In addition, you will have ongoing expenses payable monthly, quarterly, or annually. For each itemized cost, ask yourself whether you really must incur it, and focus your spending on what is vital to run the business right now. Research the cheapest ways to get what you need, such as buying assets secondhand or renting, rather than purchasing, equipment (see box opposite).

INITIAL ONE-OFF COSTS

One-off costs that will be required to prepare your business to start operating. Unlike assets, they will be tax deductible against income.

Premises (preparation)
Installing networks, health and safety, painting and decorating

Website (design and setup)
Creating and setting up your website, including security

Branding
Graphic design to create your logo and brand appearance

Legal work
Applying for permits and licenses; getting advice on contracts

Advertising/marketing
Getting the message out about your business launch and product

REGULAR ONGOING EXPENSES

Regularly recurring costs that your business will face once it starts operating. Also tax deductible against income.

Utilities
Payable for usage of electricity, water, internet, and phone usage

IT maintenance
Specialist help for managing and updating software, your website, and network security

Raw materials
Creating a product will require raw materials to be replaced

Consumables
Items that get used up such as stationery, printer ink, and toilet paper

Repayment of loans
Any amounts of capital and/or interest paid to lenders for debt

Wages
Usually paid monthly for any staff on the payroll

Contractor payments
For others who provide services on a temporary basis

Advertising/marketing
For regular paid promotions such as pay-per-click